

relates:

Signature Sodas in 14-ounce glass bottles, Slim Down in 8.2-oz cans, 13.5-oz glass bottle smoothies, 64-oz P. E.T. plastic bottled smoothies, 11.5-ounce cans of premium functional smoothies, licensing brands and trademarks, 100% juice in glass bottles, childrens multi-vitamin drinks in 8.45-oz aseptic packaging, “gold standard” green tea in proprietary 20-oz bottles, food bars, GMO-free cereal, etc., etc., etc., (etc.!!!)!

In 2002, they introduced Monster Energy, which became a focus. And in a 2003 conference call, they said, “We have pulled back a little bit this year on new products.”

“They were very crafty in how they approached it,” Yoda writes, “with their 2002 annual report revealing that ‘In connection with the development of new products and flavors, independent suppliers bear a large portion of the expense of product development, thereby enabling us to develop new products and flavors at relatively low cost.’”

Without any internal manufacturing, it was easy for them to test out different products in different packaging because they weren’t bogged down with finding the time and money required to run a factory. “They felt strongly that differentiated brands were winning brands,” Yoda writes.

“As it would later turn out, packaging was a big part of their success.”

As mentioned earlier, Hansen’s got out to a great start with Hansen Energy, its 8-oz. offering, before losing out to Red Bull. Yoda dug up a response to a question on their Q4 2003 earnings call. The question was whether investors should expect a repeat of the success of Monster.

Management said,

Firstly, I think we’ve learned a lot in the last seven years ... When we started in energy, we came out and we competed initially with Red Bull. At that time, the size of the company was such that we probably didn’t have enough manpower and marketing to put behind the brand ... In hindsight, we probably should have put